

0.66% over ten years, or by 0.06% annually. Of course, since AI will also drive an investment boom, the increase in GDP growth could be a little larger, perhaps in the 1-1.5% range.

These figures are much smaller than the ones from Goldman Sachs and McKinsey. If you want to get those bigger numbers, you either must boost the productivity gains at the micro level or assume that many more tasks in the economy will be affected. But neither scenario seems plausible. Labor-cost savings far above 27% not only fall out of the range offered by existing studies; they also do not align with the observed effects of other, even more promising technologies. For example, industrial robots have transformed some manufacturing sectors, and they appear to have reduced labor costs by about 30%.

Similarly, we are unlikely to see far more than 4.6% of tasks being taken over, because AI is nowhere close to being able to perform most manual or social tasks (including seemingly simple functions with some social aspects, like accounting). As of 2019, a survey of essentially all US businesses found that only about 1.5% of them had any AI investments. Even if such investments have picked up over the past year and a half, we have a long, long way to go before AI becomes widespread.